

Q.1 If one would prepare a graph with a horizontal axis representing units of production and a vertical axis representing per-unit production cost, how would a line representing fixed production cost is drawn?

- A. As a straight line sloping upward to the right
 - B. As a straight line sloping downward to the right
 - C. As a horizontal line**
 - D. As a vertical line
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Q.2 While constructing production budget, numbers of units manufactured are calculated by which of the following formula?

- A. Number of units to be sold + closing units – opening units**
 - B. Number of units to be sold - closing units + opening units
 - C. Number of units to be sold + closing units + opening units
 - D. Number of units to be sold - closing units – opening units
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Q.3 While constructing a Break even chart, the gap between sales line and variable cost line shows which of the following?

- A. Contribution margin**
 - B. Fixed cost
 - C. Variable cost
 - D. Break even point
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Q.4 Cost volume Profit analysis (CVP) is a behavior of how many variables?

- A. 2
 - B. 5
 - C. 4
 - D. 3**
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Q.5 The point at which the cost line intersects the sales line will be called:

- A. Contribution margin
 - B. Margin of safety
 - C. Budgeted sales
 - D. Break Even sales**
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Q.6 All of the following are assumptions in constructing a Break even chart EXCEPT:

- A. Long term period will be considered**
 - B. Price of cost factors remains constant
 - C. Cost is effected by volume
 - D. There is no change of time value of money
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Q.7 Contribution margin is the result of which of the following two variables?

- A. Variable and fixed costs
 - B. Sales and variable costs**
 - C. Sales and operating profit
 - D. Sales and Fixed cost
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Q.8 When a budget is administered wisely, it will

- A. Eliminate coordination and communication between subunits
 - B. Provide a framework for performance evaluation**
 - C. Discourage managers and employees
 - D. Discourage strategic planning
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Q.9 An assumption of CVP analysis is that a change in total costs is caused because of a change in which of the following factors?

- A. Direct labor cost
 - B. Direct material cost
 - C. Sales commission per unit
 - D. The number of units sold**
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Q.10 Cost of Goods sold budget include(s) all of the following EXCEPT:

- A. General & Administrative expenses budget**
 - B. Production cost budget
 - C. Selling & distribution expenses budget
 - D. Cash budget
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Q.1 During the month if 12,500 units were completed, 1,500 (completed up to 35%) units remained in work in process, how many equivalent units are produced?

- A. 1,500 units
- B. 13,025 units**
- C. 12,500 units
- D. None of the given options

Q.2 For adopting the process costing system, the industries must contain all of the following characteristics, EXCEPT:

- A. mass production
- B. production is made according to customer's specific orders**
- C. production through interconnected operations
- D. production of homogenous goods

Q.3 Variable costing is also known as:

- A. Both Direct Costing & Marginal Costing**
- B. Direct Costing
- C. Indirect Costing
- D. Marginal Costing

Q.4 Which of the following is/are reported in production cost report?

- A. How the costs were assigned to the output?
- B. The equivalent units of production by the department
- C. The costs charged to the department
- D. All of the given options**

Q.5 The difference between unit product costs under absorption costing as compared to variable costing is:

- A. Fixed and variable portions of manufacturing overhead
- B. Variable manufacturing overhead only
- C. Direct materials and direct labor
- D. Fixed manufacturing overhead only**

Q.6 Which of the following use process costing?

- A. Textile industry
- B. Pharmaceutical industry
- C. Cement industry
- D. All of the given use process costing**

Q.7 When closing stock is over valued, what would be its effect on profit?

- A. It will Increase the profit
 - B. Cannot be determined
 - C. It will decrease the profit**
 - D. No effect on profit
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Q.8 Which of the following cost is NOT account for in the cost of production report?

- A. Direct labor cost
 - B. Factory overhead cost
 - C. Direct material cost
 - D. Selling & administrative expenses**
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Q.9 Equivalent units produced for direct labor & FOH are 2,000 units Direct labor cost =Rs. 50,000 Factory overhead cost = Rs. 40,000 Required: Identify the cost per unit with the help of given information.

- A. Rs. 45 per unit**
 - B. Rs. 25 per unit
 - C. Rs. 20 per unit
 - D. Rs. 5 per unit
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Q.10 A bag manufacturing concern started 1500 units in first department and at the end of the period units still in process are 500. How much unit completed and transferred to next department?

- A. 1500
 - B. 2000
 - C. 500
 - D. 1000**
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